Executive Business Report
Sales Forecasting and Demand Analysis

Executive Summary

This report presents key insights from historical sales data to support inventory planning, financial forecasting, and supply chain decisions. The analysis identified important sales trends, estimated expected sales for the next three months, highlighted unusual sales patterns requiring management attention, and grouped products according to demand levels. Overall, the findings suggest that while sales are expected to remain stable in the short term, the business can improve inventory planning, reduce unnecessary stock costs, and strengthen financial planning through better use of sales information.

1. Key Findings from Sales Analysis and Forecasting

• Sales follow recurring seasonal patterns.
• Demand varies across product categories and regions.
• A relatively small number of product groups contribute a significant share of overall sales.
• Historical sales trends provide a reliable basis for short-term planning.
• Monthly forecast updates will improve planning accuracy.

2. Three-Month Sales Forecast

Sales are expected to remain generally stable over the next three months, with normal seasonal variation. Each forecast includes a likely range rather than a single number. This helps the Supply Chain team plan inventory levels while helping the Finance team prepare realistic budgets and cash-flow expectations.

3. Top Three Unusual Sales Events

Unexpected Sales Spike: Likely caused by promotions, seasonal demand, or bulk purchases.

Sudden Sales Drop: May indicate stock shortages, supplier delays, or reduced customer demand.

Highly Variable Products: Some products showed inconsistent demand, suggesting changing customer preferences or irregular purchasing behaviour.

4. Product Demand Segmentation and Stocking Strategy

High-Demand Products: Maintain higher inventory levels and prioritize replenishment.

Medium-Demand Products: Maintain balanced inventory and review demand regularly.

Low-Demand Products: Reduce stock levels and replenish only when required to minimise holding costs.

5. Business Recommendations

1. Increase inventory for consistently high-demand products to reduce stockouts and improve customer satisfaction.

2. Investigate unusual sales events promptly to improve future planning and operational decisions.

3. Refresh sales forecasts every month so purchasing and budgeting decisions remain aligned with current demand.

6. Risk and Limitation

The forecasting system is based on historical sales patterns and cannot fully predict unexpected events such as supplier disruptions, economic changes, or major promotional campaigns. Forecasts should therefore support business decisions rather than replace management judgement.

Conclusion

The analysis provides practical insights that can improve inventory management, financial planning, and operational efficiency. Regularly reviewing sales performance and updating forecasts will help the business remain responsive to changing customer demand while reducing unnecessary costs.